Green and Gold Fund Equity Resarch.

Dick’s Sporting goods

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Industry Overview

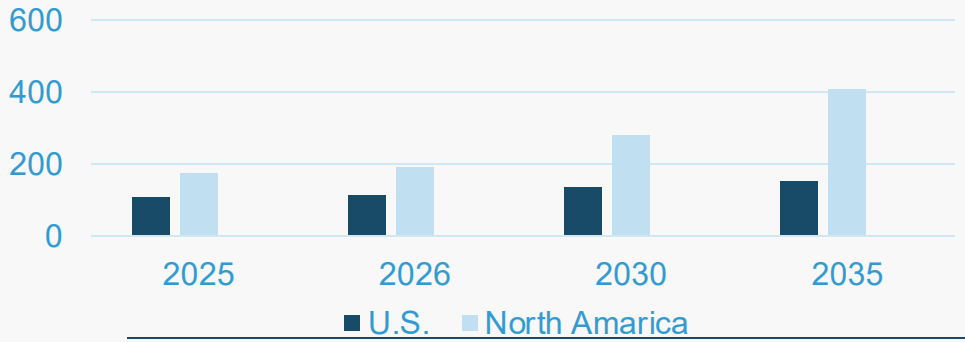
Summary

Sporting goods is growing industry currently valued at $107.6 billion and growing with the rise in youth sports, lifestyle changes, and world sporting events.

Where Dick's Wins

- Youth Sports Equipment
- Athletic clothing and footwear
- Everyday training equipment

U.S. & NA Sporting Goods Market Outlook ($bn)



Market Insight

Drivers:

- Growth Health and Wellness lifestyle
- Technology and AI for more personal experience
- Acquisition of Foot Locker in September 2025 for $2.5 billion
- Rise in Spending in Youth Sports 46% Increase since 2019. $120 million in unrivaled sports.

Risk:

- Global Tariff's and logistics
- Sensitive consumer spending.
- Decrease in physical stores
- Foot Locker integration.

Trends:

- Upcoming sports events. ('26 World Cup, '26 WBC, '28 Olympics).
- Women's sports expansion and growth
- Support for Sports all-time high.

Sources: IBISWorld, Statista, Grand View Research, Mordor Intelligence, Reuters, Dick's Sporting Goods 2025 Annual Report & Investor Relations.

Business Model

Overview

Dick's Sporting Goods (DKS) is the largest full-line sporting goods retailer the U.S. operating 850 stores in 47 different states. They offer top of the line equipment, apparel, and footwear. They fundamentally run **brick-and-mortar retail model**, but have shifted towards a **omnichannel retailer** meaning that physical stores and digital commerce work hand and hand.

In-Store Retail

Products
- Equipment
- Apparel
- Footwear

Customers
- Sports consumers
- Athletes

Value
- Convivence
- Selection

E-Commerce

Products
- Full online catalog

Customers
- Online/Digital first shoppers

Value
- Accessibility
- Loyalty Integration(Points)

Private Brands

Products
- Calia
- Alpine Design
- DSG

Customers
- Value seeking customers

Value
- Margin Expansion
- Exclusivity

Subsidiary Brands

Products
- Golf Galaxy
- Public Lands
- Going Going Gone

Customers
- Value seeking customers
- High-Affinity Shoppers

Value
- Premium Experience
- Depth and Expertise

Q4 2025 Earnings & Guidance

Q4 & Full Year Earnings

Dicks's performed record setting Q4 with revenue of **$6.22 billion,** they are up **60%** year over year. They have a Q4 comps of **+3.1%** and a full year comps of **+4.5%.** Dick's businesses also have a non-GAAP EPS of **$14.58**, up from **$14.05** in 2024. Dick's businesses brought in a revenue of **$14.1** billion in a full year.

Foot Locker Integration

Dicks's acquired Foot Locker for $2.4 billion in September 2025. GAAP net income dropped due to fees related to the acquisition totaling $390 million recorded in FY2025. This is likely to decline again as restructuring charges are expected to cost $500-$700 million.

Priority and Capital Allocation

Dicks's is currently expanding as they are opening 14 House of Sports and 22 Field House location openings in 2026. The board recently approved a 3% dividend increase to an annualized **$5.00** per share. Dicks's currently hold **$1.35 Billion** in cash with no borrowing this allows them to be more flexible with spending for integration and investments.

Financial Outlook Non-GAAP

($ billions)

Consolidated Net Sales	$22.1B - $22.4B DICK'S Businesses- $14.5 Foot Locker- $7.6B- $7.7B
Comparable Sales Growth	+2.0% - +4.0% Foot Locker: +1.0% - 3.0%
Non-GAAP Operating Income	$1.68B – $1.81B
Annualized Dividend	$5.00/share
New Store Locations	36 New Locations - 14 House of Sport - 22 Field House

Sources: SEC EDGAR (DKS 8-K, March 12, 2026), Dick's Sporting Goods Q4 & FY2025 Earnings Release, Dick's Sporting Goods 2025 Annual Report & Investor Relations, PR Newswire, Quartr, Simply Wall St.